MODULE 20 · DOMAIN 2 - PROCESS

Value-based delivery

What value means, delivering the smallest valuable thing first, prioritising by value, measuring benefits, and the financial tests for choosing projects.

DOMAIN II - Process EXAM WEIGHT 41% MODULE 20 of 49

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Deliver the most valuable thing first. Then **check that it was valuable**.

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Kinds of value

KIND	EXAMPLE
Financial	More revenue, lower costs, avoided fines
Customer	Faster service, better experience, higher satisfaction
Strategic	New market position, capability for the future
Social and environmental	Community benefit, lower emissions, accessibility
Risk reduction	Compliance, resilience, fewer outages
Learning	Validated knowledge that shapes the next decision

ON THE EXAM

Value is defined by stakeholders, and it is not only money. Identify the components with them, early.

Minimum viable and its relatives

TERM	WHAT IT IS
Prototype	A mock-up to explore a design; not for real use
Minimum viable product	Smallest thing that tests a key hypothesis with real users
Minimum marketable feature	Smallest feature customers value on its own
Walking skeleton	Thin end-to-end architecture, proving the parts connect
Pilot	A real roll-out to a limited group, to reduce risk

ON THE EXAM

An MVP is for learning. An MMF is for delivering value.

When a minimum viable product is the answer

- Nobody is sure customers **want it**, or will **pay for it**, or will **use it** as expected.
- Build the smallest thing that answers that question, with real users.
- It can be very simple: a landing page, a manual service behind a simple front end.
- Building the full product first, then discovering nobody wants it, is the costliest way to learn.

> ON THE EXAM
>
> Big uncertainty about demand: test it cheaply first. Then persevere, or pivot.

Prioritisation techniques

TECHNIQUE	HOW IT WORKS
MoSCoW	Must, Should, Could, Won't have this time
Kano model	Basic needs, performance needs, delighters
Cost of delay	What value is lost for each week an item waits
Weighted scoring	Score options against weighted criteria
Value versus effort	A two-by-two grid: do quick wins first
100-point method	Stakeholders share 100 points across items

ON THE EXAM

The product owner or sponsor decides. The technique makes the trade-offs visible and the decision defensible.

MoSCoW in practice

- **Must**: without it, the release fails or is unlawful or unsafe.
- **Should**: important, but there is a workaround.
- **Could**: desirable; first to drop if time is short.
- **Won't have this time**: agreed out of this release, not forgotten.
- If everything is a Must, nothing is. Test each Must: would we delay the release for this?

> ON THE EXAM
>
> The discipline is in the definitions. Agree what 'Must' means before anyone labels anything.

The Kano model

- **Basic needs**: expected. Nobody praises them; their absence causes anger.
- **Performance needs**: more is better, in proportion. Faster, cheaper, easier.
- **Delighters**: unexpected extras that create delight. Absence is not noticed.
- Over time, delighters become basic needs. Yesterday's surprise is today's expectation.

> ON THE EXAM
>
> Get the basics right first. A delighter never compensates for a missing basic need.

Cost of delay

- The value lost for each unit of time an item is **not** delivered.
- Feature A loses $10,000 a week while waiting; feature B loses $2,000. Both take two weeks.
- Do A first. Delaying B for two weeks costs $4,000; delaying A would cost $20,000.
- With different sizes, divide cost of delay by duration, and do the highest first.

> ON THE EXAM
>
> When items differ in urgency, the one that loses most value while waiting goes first.

Value versus effort

	LOW EFFORT	HIGH EFFORT
High value	Quick wins: do first	Big bets: plan carefully
Low value	Fill-ins: if capacity allows	Money pits: avoid

ON THE EXAM

Quick wins deliver value early and build trust. Money pits should be challenged, however senior the requester.

Finding chances to deliver value sooner

- The outline asks you to **assess opportunities to deliver value incrementally**.
- Could part of the result be released early, to one region, one group, one product line?
- Could a pilot deliver real benefits while reducing risk for the rest?
- Holding finished, valuable work back for one big launch delays benefits for no gain.

> ON THE EXAM
>
> Even predictive projects can release value in stages. Look for it, and propose it.

Measuring benefits

- Measure a **baseline** before delivery. Without it, you cannot show any change.
- Define **measures and targets**: key performance indicators, or objectives and key results.
- Name a **benefit owner** who will keep measuring after the project closes.
- Put the **measurement system** in place as part of the project, not as an afterthought.

> ON THE EXAM
>
> No baseline, no proof of benefit. Measure before you change anything.

Leading or lagging indicators?

LEADING INDICATORS

Early signals

- Predict future results
- Available during the project
- Adoption rate, feature usage, early feedback
- Let you adjust in time

LAGGING INDICATORS

Final results

- Confirm results after the fact
- Often available only after closure
- Revenue, cost savings, missed appointments
- Prove the benefit was real

THE TIEBREAKER

Use both. Leading indicators let you steer; lagging indicators prove the outcome.

Financial tests for choosing projects

MEASURE	CHOOSE THE PROJECT WITH
Net present value (NPV)	The highest NPV. It already accounts for timing
Internal rate of return (IRR)	The highest IRR
Return on investment (ROI)	The highest ROI
Benefit-cost ratio (BCR)	The highest ratio; above 1 means benefits exceed costs
Payback period	The shortest payback
Opportunity cost	The value of the best option not chosen

ON THE EXAM

With NPV, ignore the project length in the question. Duration is already built into the NPV.

Checking value throughout

- The outline asks you to **examine the business value throughout the project**.
- Re-check at reviews, gates and when the environment changes.
- In adaptive work, stop when the remaining backlog is worth less than the cost of building it.
- Continuing because the plan said so, after the value has gone, wastes the organisation's money.

> ON THE EXAM
>
> Finishing early because the valuable work is done is a success, not a failure.

Project Lantern: delivering value early

- **Baseline**: missed-appointment rates measured at every clinic for three months before any go-live.
- **Leading indicator**: the share of bookings made online, tracked weekly from the pilot clinic.
- **Early value**: text reminders went live at all six clinics before the new app, because they were a quick win.
- **Won't have this time**: video consultations, agreed with the sponsor and recorded.

> ON THE EXAM
>
> Baseline first, a quick win early, and clear agreement on what is out of this release.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
Choose between projects using NPV	Highest NPV; ignore the duration
Unsure whether customers will want it	An MVP to test demand cheaply
Stakeholders say everything is a must	MoSCoW with agreed definitions
Part of the result is ready early	Assess releasing it early
Nobody can prove the benefit	A baseline should have been measured first
Remaining work worth less than it costs	Recommend stopping or re-scoping to the sponsor

ON THE EXAM

Value first, value proven, and value re-checked. That is value-based delivery.

> A portfolio board can fund one of four projects. The finance team has calculated each project's net present value.
>
> The projects run for different lengths of time.

Based on the financial information, which project should be selected?

A Project 1: NPV $95,000, over 2 years.

B Project 2: NPV $80,000, with an IRR of 14%.

C Project 3: NPV $120,000, over 5 years.

D Project 4: NPV $60,000, with a benefit-cost ratio of 1.4.

◆ PAUSE AND DECIDE

Based on the financial information, which project should be selected?

A NPV $95,000, 2 years.

Shorter, but the duration is already inside the NPV. Lower value.

B NPV $80,000, IRR 14%.

A distracting second measure. The shared basis is NPV.

C NPV $120,000, 5 years.

Highest NPV. Timing is already accounted for.

D NPV $60,000, BCR 1.4.

A good ratio, but the lowest value of the four.

THE SIGNAL

Compare like with like: every option has an NPV, so choose the highest. Ignore the years.

A start-up plans a subscription service delivering ready-to-cook meals to offices. Nobody knows whether offices will pay for it.

The founder wants to build the full ordering platform, delivery app and kitchen system first, which will take a year.

What should the project manager recommend?

A. A minimum viable product, such as a simple order page with manual fulfilment, to test whether offices will pay.

B. Build the full platform as planned, so the launch makes a strong impression.

C. Run a market research survey and build the full platform if the results are positive.

D. Build a clickable prototype of the ordering screens to show investors.

◆ PAUSE AND DECIDE

What should the project manager recommend?

A An MVP with manual fulfilment.

Tests real willingness to pay in weeks, before a year of investment.

B Build everything first.

A year of spending before learning whether anyone will pay.

C A survey, then build.

Surveys measure what people say, not whether they actually pay.

D A clickable prototype.

Tests the design, not the demand. Nobody pays for a prototype.

THE SIGNAL

The big unknown is demand. Test it with real customers and real money, as cheaply as possible.

> Six stakeholders are reviewing forty features for the first release of a new online banking service. Each stakeholder has marked almost all of their own features as essential.
>
> The release date is fixed by a regulatory deadline.

What should the project manager do?

A Decide which features are essential, based on the project manager's own judgement.

B Deliver features in the order they were requested.

C Treat all forty features as equal priority and deliver as many as possible.

D Facilitate a MoSCoW session, first agreeing that 'Must' means the release cannot go ahead without it.

◆ PAUSE AND DECIDE

What should the project manager do?

A The PM decides.

Priorities belong to stakeholders and the sponsor or product owner.

B Order of request.

Arrival order has nothing to do with value.

C All equal priority.

With a fixed date, the least valuable may get built and the essential ones missed.

D MoSCoW, with 'Must' defined first.

Agreeing the definition first breaks the everything-is-essential deadlock.

THE SIGNAL

Everything marked essential with a fixed date: agree what 'Must' means, then sort together.

> A predictive project will roll out a new customer service system to twelve regional offices at once in nine months. One region's configuration is already complete and tested.
>
> That region handles thirty percent of all customer calls.

What should the project manager do?

A Keep the finished configuration until the planned single go-live.

B Assess with stakeholders whether to release to that region early, to realise benefits sooner.

C Reduce the scope for the other eleven regions to match.

D Ask the team to speed up the other regions' configuration.

◆ PAUSE AND DECIDE

What should the project manager do?

A Wait for the big launch.

Holds back value from thirty percent of calls for months, for no gain.

B Assess an early release with stakeholders.

The outline's enabler: assess opportunities to deliver value incrementally.

C Cut others' scope.

Unrelated to the opportunity, and not the PM's decision to make.

D Speed up the others.

Pressure, not value. The opportunity is already sitting there.

THE SIGNAL

Finished, valuable work waiting for a big launch: assess releasing it early, even on a predictive project.

A project's main objective was to reduce customer calls to the help desk by twenty percent through a new self-service portal. The portal launched successfully.

The sponsor now asks whether call volumes fell. Nobody recorded call volumes before the launch.

What should the project manager have done?

A Estimated the previous call volumes after launch, from staff recollection.

B Surveyed customers after launch about whether they call less.

C Relied on the portal vendor's typical results for similar clients.

D Measured a baseline of call volumes before launch, with a benefit owner to track them afterwards.

◆ PAUSE AND DECIDE

What should the project manager have done?

A Estimate from memory.

A guess after the fact cannot prove a twenty percent change.

B Survey customers later.

Opinions, not call data, and no starting point to compare with.

C Vendor's typical results.

Someone else's organisation, not evidence about this one.

D Baseline first, with a benefit owner.

The only way to prove a change is to measure the starting point.

THE SIGNAL

No baseline, no proof. Measure the starting point before you change anything.

> After eight months, an agile team has delivered all the high-value features of an internal tool, and usage targets have been met.
>
> The product owner says the remaining backlog items are minor, and would cost more to build than they are worth. The budget runs for four more months.

What should the project manager do?

A Continue until every backlog item is built, since the budget is approved.

B Look for new features to add so the team stays fully used.

C Recommend to the sponsor that the work stops, releasing the team and the remaining budget.

D Keep the team on the project at reduced effort until the budget runs out.

◆ PAUSE AND DECIDE

What should the project manager do?

A Build every item.
Spends four months on work worth less than it costs.

B Invent new features.
Keeps people busy, not productive. Value should drive work.

C Recommend stopping to the sponsor.
Value delivered; remaining work not worth its cost. Stopping is success.

D Coast until the budget ends.
Wastes the budget and the team's time.

THE SIGNAL

When remaining work is worth less than it costs, the valuable thing is to stop. That is a success.

Most valuable first. Measured against a baseline. Re-checked all the way.

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